

SPX

S&P 500 Index

- ▶ ODTE / 1-2 day spreads
- ▶ Quick income, no single-stock risk
- ▶ **Larger accounts only**

SOFI

SoFi Technologies

- ▶ **Bull Put Spread** (monthly)
- ▶ Sell at \$6 / \$7 support floors
- ▶ **Best for \$500-\$2,000**

MSFT

Microsoft

- ▶ **Bear Call Spread** (weekly)
- ▶ Only when **overbought**
- ▶ Steady, high implied vol

□ **THE GREEN LIGHTS (ENTRY CHECK)**

- ▶ Stock **above 50-day MA**
- ▶ Sold-leg **Delta ≤ 0.20** (target 0.15)
- ▶ POP **70-80%**
- ▶ Theta positive (you earn daily)
- ▶ No earnings this week
- ▶ Risk $\leq 2\%$ of account

× **EXECUTION (OPEN THE SPREAD)**

- 1 **Sell to Open** the lower strike (Delta ~ 0.15) → collect premium
- 2 **Buy to Open** a strike \$0.50 below → your insurance (caps loss)
- 3 Net = Credit – Insurance cost = **money in today**
- 4 If price stays out of danger → you keep the full credit

SOFI EX: Stock \$8 → Sell \$7 Put ($\Delta.15$) / Buy \$6.50 Put. Credit $\approx$ \$20, Max risk $\approx$ \$30, $\sim 40\%$ return if it holds.

□ **EXIT RULES — WHEN TO LEAVE**

- ▶ **Take profit at 50%** of max profit → close & redeploy
- ▶ **Cut loss at 2× credit** (collected \$20 → out at $-\$40$)
- ▶ At **21 days to exp.** → watch close; Gamma risk rises
- ▶ Never hold through **earnings**
- ▶ Feeling greedy or panicked? **Step away.**

□ **MINDSET TRAPS TO AVOID**

- **FOMO** — chasing a flying stock. Wait for your setup.
 - **Revenge trade** — forcing a trade after a loss.
 - **Overconfidence** — 5 wins $\neq$ genius. Keep risk flat.
 - **Hope** — "it'll come back." If it hits stop, **CLOSE.**
- System 2 over System 1:** follow the written plan like a robot.

□ **RISK RULES — PROTECT THE CAPITAL (NON-NEGOTIABLE)****2% Rule**

Max risk/trade
\$500→\$10 · \$1k→\$20

3 Max

Open trades at once (1 per
ticker)

Always Insure

Never sell naked — buy the
protection leg

No Earnings

Close before any earnings
report

Keep 30% Cash

Cash = oxygen for new
trades

YOUR PLAN · \$500 STARTER (TRAINEE)**\$10 max risk · 1 trade at a time**

- Open broker + **paper trade 2 wks** before deposit
- Deposit \$500 · keep **\$350 cash**
- 1 SOFI Bull Put/wk, $\Delta.15$, $\leq \$0.50$ wide
- 2 losses in a row → **stop 1 week**
- Reinvest all profit · target \$500→\$600 / 3 mo

YOUR PLAN · \$1,000 PORTFOLIO (OPERATOR)**\$20 max risk · 2 tickers running**

- Split: **\$600 cash / \$250 SOFI / \$150 MSFT**
- SOFI: 1 monthly Bull Put (30-45 DTE)
- MSFT: 1 weekly Bear Call (overbought only)
- 3 losses → stop 1 wk · below \$850 → paper 2 wks
- Reinvest all · target 4-6%/mo → \$1k→\$1.25k